Financial review

Revenue

£355.1m

+8%

(2018: £330.1m)

Operating profit

£243.7m

+10%

(2018 restated: £221.3m)

Cash generated from operations

£258.5m

+13%

(2018 restated: £228.4m)

Cash returned to shareholders

£151.1m

(2018: £148.4m)

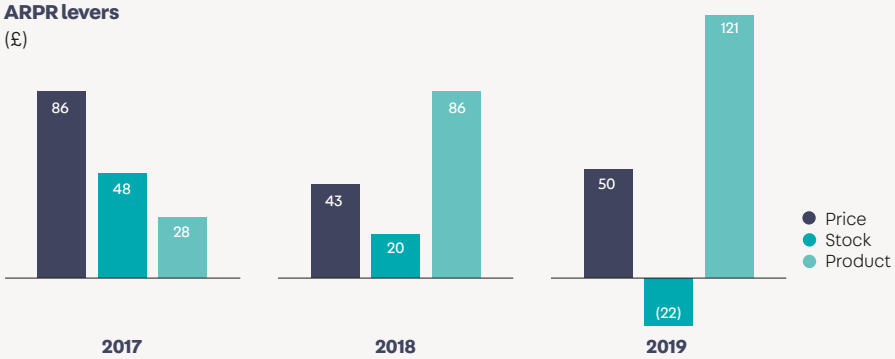
Revenue	2019 £m	2018 £m	Change
Retailer	293.0	268.7	9%
Home trader	10.2	11.4	(11%)
Other	1.4	1.1	27%
Trade	**304.6**	**281.2**	**8%**
Consumer Services	28.0	29.8	(6%)
Manufacturer and Agency	22.5	19.1	18%
Total	**355.1**	**330.1**	**8%**

Revenue

In 2019, we saw another strong year of revenue growth at 8%, climbing to £355.1m (2018: £330.1m), predominantly through Trade revenue, and more specifically Retailer revenue, as our core business continued to grow.

Trade revenue – comprising Retailers, Home Traders and other revenue – increased by 8% to £304.6m (2018: £281.2m). Retailer revenue grew 9% to £293.0m (2018: £268.7m), driven by the launch of new products, our annual pricing event and further penetration of higher yielding advertising packages. Average Revenue Per Retailer ('ARPR') improved by £149 to £1,844 per month (2018: £1,695). Average retailer forecourts were stable, with a marginal increase in the year to 13,240 (2018: 13,213).

ARPR growth of £149 per month was broken down as follows into our three levers: price, stock and product.

- **Price:** Our price lever contributed £50 (2018: £43) and 34% (2018: 29%) of total ARPR growth. We executed our annual event for the vast majority of customers on 1 April 2018 which included a like-for-like price increase.
- **Stock:** A small contraction in stock had a negative effect on ARPR growth of £22 (2018: positive effect of £20) and was -15% (2018: +13%) of total ARPR growth. A reduction in the number of new cars registered, lower volumes of pre-registration and some consumer uncertainty led to a lack of used car supply in the market during the first half of the year. Retailer stock has seen some level of recovery through the second half of the year although the market is still challenging.
- **Product:** Our product lever contributed £121 (2018: £86) and 81% (2018: 58%) of total ARPR growth. Our annual event allowed us to introduce two new products, stock exports and profile pages, into all package levels and we also monetised our Dealer Finance product following a trial period. Since 1 April 2018, over 5,000 retailers have opted to pay for the opportunity to advertise their finance offers against their cars, representing 70% of all eligible retailers. In addition, the penetration of our higher yielding Advanced and Premium advertising packages has continued to grow as retailers recognise the value of receiving greater prominence within our search listings. At the end of March, 19% of retailer cars advertised were on one of these levels (March 2018: 12%). There was also a small contribution from our Managing products, which despite re-platforming and continued development in the year, still saw growth to 3,200 customers (2018: 3,000).

ARPR levers
(£)